— Opinion

Liberal Party rebuild must champion lower income tax

The organising principle that can unite conservatives and moderates in the Coalition must be economic management.



John Kehoe *Economics editor*

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Anthony Albanese won the election by offering “free” things to voters.

Free doctor visits. Free TAFE. Free lenders mortgage insurance for first home buyers. More subsidies for childcare. Taxpayer-funded wages for aged care and childcare businesses and workers. A taxpayer bailout for the Whyalla steelworks, to name just a few.



Liberal leader Sussan Ley and deputy leader Ted O'Brien at their first press conference as leader and deputy. **Alex Ellinghausen**

But there is no such thing as a free lunch. Taxpayers will eventually pick up the bill.

There is no longer any respect for taxpayers in Canberra. Future generations will inherit higher debt that will need to be repaid. It is immoral for current politicians and voters to impose these higher costs on future generations who cannot yet vote.

The Coalition was thumped at the election.

Hitting rock bottom will force Liberals to think hard about what they stand for and how to differentiate themselves from Labor.

A Labor-lite platform of matching much of Albanese's big spending, while opposing Labor's small income tax cuts was a comprehensive failure.

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Peter Dutton's populist economic platform – a temporary cut to fuel excise, a one-off low and middle-income tax offset, tax breaks on mortgage interest for first home buyers, a retrospective domestic gas reservation, and threats to break up big supermarkets - did not resonate.

New leader Sussan Ley and deputy Ted O'Brien on Tuesday made the right noises

about returning to a credible tax and economic agenda [https://www.afr.com/policy/economy/liberals-put-tax-and-economic-reform-on-to-do-list-20250513-p5lyu7]. But they have a lot of political and policy work to do to convince voters on substance.

The Coalition must give voters a real choice, so Australians clearly understand what they do and don't stand for. The path forward is not necessarily about going more to the centre or further to the right. That notion is overly simplistic.

Rebuilding the party's brand should be about transforming traditional Liberal values of liberty, freedom, enterprise, entrepreneurialism, individualism and reward for effort into a salient economic narrative and policies for the electorate.

O'Brien mentioned many of these values in

his joint press conference with Ley.

The organising principle that can unite conservatives and moderates in the Coalition must be economic management. Liberals should be less distracted by culture wars because they are a lower priority for the vast majority of Australians in a compulsory voting system.

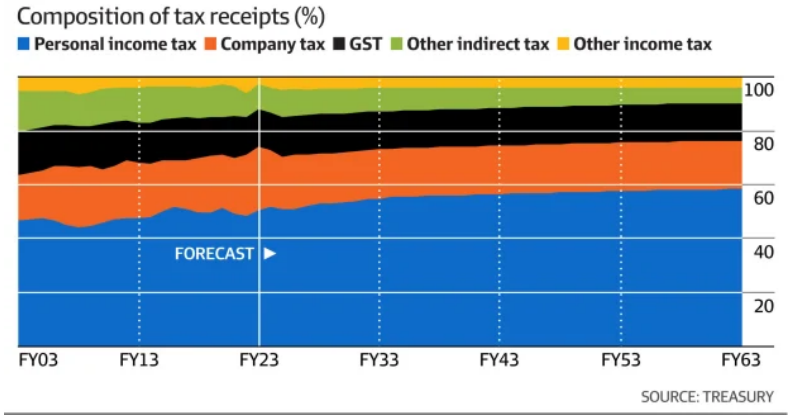
The mantra inside Scott Morrison's team at the 2019 election the Coalition surprisingly won was that "every day we're not talking about the economy is a day we're not winning votes", according to a former insider. Liberals strategists saw it reflected in internal polling when Morrison did and didn't focus on the economy.

Dutton did not seem particularly comfortable talking about economics.

The Coalition should ditch Dutton's populist

economic policies and offer earning Australians a very simple proposition – lower income taxes than Labor, possibly through some form of indexation of the income tax thresholds to contain bracket creep.

It is the obvious sweet spot for a centre-right party to incentivise work, reward effort and constrain the size of government. It is a no-brainer, particularly with the income tax burden on working-age people set to keep rising as the population ages.



Younger voters and working women have abandoned the Coalition. Commonwealth

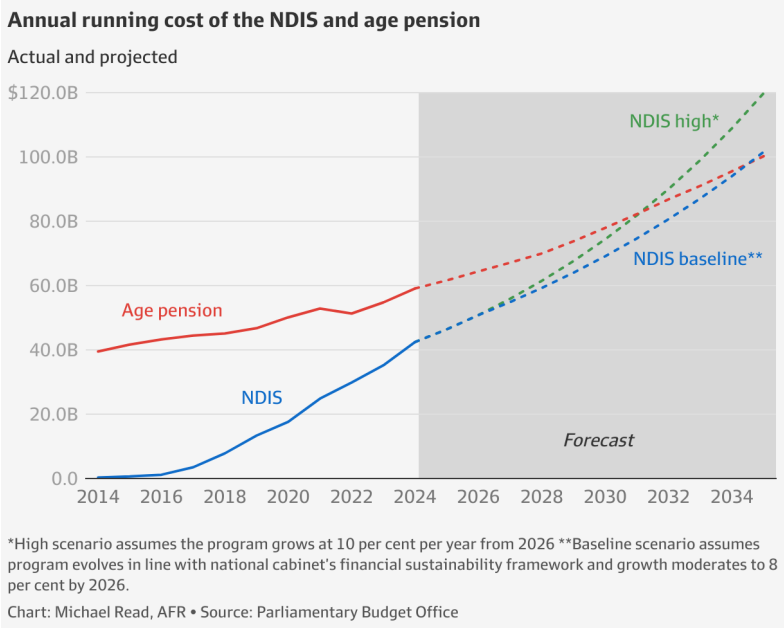
Bank research shows that Millennials and Gen Z account for 62 per cent of new business account openings in the last 12 months, and that Millennials alone made up 49 per cent of new businesses in the year to March 31.

These are the hard-working, aspirational voters the Liberals need to win back with a credible income tax policy. The Coalition can only afford to do this if it successfully makes the case for economic conservatism and smaller government.

Federal spending next financial year is on track to hit the highest share of the economy since 1986, outside the pandemic stimulus. Liberals should expose Labor's big spending and interventionist agenda that is sucking resources away from the more productive private sector and into low-productivity areas.

An honest conversation about taxpayer-funded programs, led by the $51 billion National Disability Insurance Scheme, is required.

The cost of the NDIS has already surpassed federal spending on aged care, Medicare, the pharmaceutical benefits scheme, and public hospitals. The cost for its 693,000 participants could exceed that of the age pension [https://www.afr.com/policy/economy/ndis-to-cost-100b-exceeding-the-pension-budget-watchdog-20240614-p5jltf], which is currently paid to 2.6 million recipients within three years, and become the most expensive government program.



The NDIS risks blowing out in excess of $100 billion in the early 2030s, according to the government actuary.

Stripping away tens of billions of dollars of future growth by tightening eligibility for people not yet enrolled in the scheme should not be put in the too-hard basket.

Co-contributions and income means testing for the families of less seriously disabled

people should be considered to make it financially sustainable, as recommended by the International Monetary Fund.

Australia must prioritise a functional energy system as the backbone of a strong economy and have an eyes-wide-open approach to emissions reduction.

Ley is wise to commit to reviewing the Coalition's support for the 2050 net zero carbon emissions target and taxpayer-funded nuclear reactors.

"We need to reduce emissions in this country and Australia needs to play its part in reducing emissions, that I absolutely sign up to," she says. "We also know that if we don't do energy policy well, we can crash the energy grid. We can cripple Australian manufacturing."

As a wealthy, industrialised, fossil-fuel

exporting economy, Australia should do its fair share of emissions reduction, in line with other countries. As an emitter of 1.4 per cent of global carbon emissions, Australia must be cognisant of global developments.

The international landscape on climate change action has shifted, not just because of Donald Trump's return as US president and withdrawal from the Paris Agreement. Canada's new progressive prime minister, Mark Carney, axed the carbon tax.

A carbon price would be a much more rational response to guide the energy transition but, instead, raw politics has taken governments down the vastly more expensive and less effective route of using taxpayer money for green subsidies.Carney was previously a champion of climate change action as a central banker and private sector financier.

Former British Labour prime minister Tony Blair said this month a strategy of phasing out fossil fuels in the short term was "doomed to fail". With the Climate Change Authority set to recommend new emissions-reduction targets to Minister Chris Bowen in the coming weeks, Labor's goal on the deployment of weather-dependent renewable energy should be treated with intellectual honesty and circumspection.

The economic and engineering challenges of net zero are almost unfathomable and the cost being borne by taxpayers and consumers will be enormous.

Canadian scientist Vaclav Smil in his book, *How the World Really Works*, says the "four pillars of modern civilisation" – ammonia, steel, concrete and plastic – are all heavily dependent on fossil fuels [https://www.afr.com/policy/economy/australia-risks-sleepwalking-into-an-energy-crisis-20230310-

p5cr5a]. Barring “extraordinary rapid transformations relying on near-miraculous technical advances”, fossil fuels will remain essential for decades unless we want to inflict “unthinkable” economic pain, Smil writes.

Smil is not a climate denier but is an informed realist.

Labor state governments in NSW and Victoria are already extending taxpayer subsidies to keep open ageing coal-fired power plants. Much more gas will be required as the backbone for Labor’s weather-dependent wind and solar energy system, but this will be challenged by the Greens holding the balance of power in the Senate.

Nuclear might be part of Australia’s very long-term energy mix but is unlikely to play a role in the next 20 years.

The Coalition's starting point should be a removal of the nonsensical moratorium, without prematurely committing taxpayers to build seven nuclear power sites. The viability of nuclear for Australia should be considered longer term, particularly if Labor's big gamble on weather-dependent renewables keeps stumbling.

Labor will likely be in power for at least nine years since 2022, so there will be a real litmus test of its energy transition policy.

The Coalition should hold Labor accountable on the renewable energy rollout while developing a coherent economic agenda on income tax and government spending to appeal to centrist voters.

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